

25STCV35073 25STCV35073

County: los-angeles

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Department: 508

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Case Number: 25STCV35073 Hearing Date: July 20, 2026 Dept: 508

Superior Court of California

County of Los Angeles

Department 508

LAUNCH DEVELOPMENT FUND LLC,

Plaintiff,

vs.

ACND LLC, et al.,

Defendants.

Case No.:

25STCV35073

Hearing Date:

July 20, 2026

Hearing Time:

10:00 a.m.

ORDER RE:

PLAINTIFF'S REQUEST FOR DEFAULT JUDGMENT

Plaintiff Launch Development Fund LLC ("Plaintiff") requests default judgment against Defendants ACND LLC and Sjolund Films, Inc. (jointly, "Defendants"), jointly and severally, in the total amount of \$2,729,613.21, comprising \$2,709,112.50 in damages, \$18,253.75 in attorney fees, and \$2,246.96 in costs. Plaintiff also seeks injunctive and declaratory relief, for which Plaintiff submitted a memorandum in support.

Plaintiff first asserts that section 9 of the Bridge Loan Agreement between it and Defendants provides for a takeover of the rights to the picture and an assumption of related contracts. Specifically, the agreement provides "[i]n the event that Borrower fails to repay the Repayment Amount by the Maturity Date or fails to cure any Default within three (3) business days of receipt of written notice of any such failure from Lender, Borrower hereby grants to Lender a non-injunctionable (and implementable without requirement of litigation or judgment) right to take over the Picture and to assume all related contracts thereto." (Daniels Decl., Ex. A, Bridge Loan Agreement, § 9.)

Plaintiff asserts that "[t]he record establishes that: (1) Defendants failed to repay the Repayment Amount by the Maturity Date of July 15, 2024; (2) Launch sent a written notice of default on May 12, 2025; and (3) Defendants failed to cure within three business days or at any time thereafter... All contractual conditions precedent to the takeover right have been satisfied." (Mot., 2:24-27.) The Court agrees that the evidence provided supports Plaintiff's valid security interest in the collateral, as defined in the agreement. (See Daniels Decl., ¶¶ 9-13.)

Plaintiff also asserts that it is entitled to injunctive relief to obtain access to Defendants' bank account even though the bank, Wells Fargo, is not a party to this action. Under the Security Agreement, Plaintiff is granted "a continuing security interest in and to and mortgage of copyright on all of Borrower's right, title and interest, whether now owned or hereafter acquired, in and to the Collateral and all proceeds derived therefrom," until the repayment amount is paid. (Daniels Decl., Ex. A, Security Agreement, § 1.)

Plaintiff cites the California Uniform Commercial Code section 9203, subdivision (b), which states that "a security interest is enforceable against the debtor and third parties with respect to the collateral only if each of the following conditions is satisfied: (1) Value has been given. (2) The debtor has rights in the collateral or the power to transfer rights in the collateral to a secured party. (3) One of the following conditions is met: (A) The debtor has signed a security agreement that provides a description of the collateral and, if the security interest covers timber to be cut, a description of the land concerned." Plaintiff next cites California Uniform Commercial Code section 9609, subdivision (a)(1), which provides that "[a]fter default, a secured party may ... [t]ake possession of the collateral." To proceed under subdivision (a), a secured party may do so "[p]ursuant to judicial process." (Cal. U. Com. Code § 9609, subd. (b)(1).)

The explicit language of the Security Agreement provides that Plaintiff "may resort to its Security Interest in the Collateral hereunder if the Borrower is in Default of the Bridge Agreement or the Note, [and] Lender shall have all rights and remedies of a 'secured party' under the Uniform Commercial Code." (Daniels Decl., Ex. A, Security Agreement, § 3.) Exhibit 1 to the Security Agreement for collateral includes "[a]ny and all accounts, accounts receivable, general intangibles, contract rights, chattel paper, deposit accounts (including, without limitation, any production bank account)..." (Daniels Decl., Ex. A, Security Agreement, Ex. 1, § a, subd. xi.)

Plaintiff asserts that "[t]he Wells Fargo account ending in 2837, held in the name of Sjolund Films, Inc., is [an] account subject to Launch's security interest. (Daniels Decl. ¶ 12.) A court order directing possession of this account is consistent with Launch's rights under California Uniform Commercial Code section 9609 and the parties' agreement." (Mot., 4:1-4.)

The Court finds that Plaintiff's new default judgment package corrected the previous defects. Plaintiff's memorandum provided the Court with a legal basis for its ability to approve the requested injunctive and declaratory relief when third parties are involved. Thus, Plaintiff sufficiently supported its request with the submitted evidence and declarations. Accordingly, the

Court grants Plaintiff's request and will sign the judgment. No appearance at the hearing is necessary.

DATED: July 20, 2026

Hon. Teresa A. Beaudet

Judge, Los Angeles Superior Court